

Passing the Mirror Test

“Is General Electric a good investment?” isn’t the first thing I’d inquire about a stock. Even if General Electric is a good investment, it still doesn’t mean you ought to own it. There’s no point in studying the financial section until you’ve looked into the nearest mirror. Before you buy a share of anything, there are three personal issues that ought to be addressed: (1) Do I own a house? (2) Do I need the money? and (3) Do I have the personal qualities that will bring me success in stocks? Whether stocks make good or bad investments depends more on your responses to these three questions than on anything you’ll read in *The Wall Street Journal*.

(1) DO I OWN A HOUSE?

As they might say on Wall Street, “A house, what a deal!” Before you do invest anything in stocks, you ought to consider buying a house, since a house, after all, is the one good investment that almost everyone manages to make. I’m sure there are exceptions, such as houses built over sinkholes and houses in fancy neighborhoods that take a dive, but in 99 cases out of 100, a house will be a money-maker.

How many times have you heard a friend or an acquaintance lament: “I’m a lousy investor in my house”? I’d bet it’s not often. Millions of real estate amateurs have invested brilliantly in their houses. There are sometimes families that must move quickly and are forced to sell at a loss, but it’s the rare individual who manages to lose money on a string of residences one after another, the way it routinely happens with stocks. It’s a rarer individual yet who gets wiped out on a house, waking up one morning to discover that the premises have declared bankruptcy or turned belly up, which is the sad fate of many equities.

It’s no accident that people who are geniuses in their houses are idiots in their stocks. A house is entirely rigged in the homeowner’s favor. The banks let you acquire it for 20 percent down and in some cases less, giving you the remarkable power of leverage. (True, you can buy stocks with 50 percent cash down, which is known in the trade as “buying on margin,” but every time a stock bought on margin drops in price, you have to put up more cash. That doesn’t happen with a house. You never have to put up more cash if the market value goes down, even